

About Data Analytics Business Intelligence

Objectives

- ✓ Concept
- ✓ Roles in Organizations
- ✓ Characteristics
- ✓ Process
- ✓ Types of Analysis

Concepts

- **Data Analytics (DA)**
- **Data Analytics** is the process of inspecting, cleaning, transforming, and modeling data to discover useful insights, patterns, trends, and support decision-making.
It focuses on **explaining, predicting, and optimizing** outcomes using statistical and computational techniques.
- Answers: *“What happened, why did it happen, what will happen, and what should we do?”*

- **Business Intelligence (BI)**
- **Business Intelligence** refers to technologies, architectures, and practices used to collect, integrate, analyze, and present business information to support operational and strategic decisions.
- BI emphasizes **reporting, dashboards, monitoring KPIs**, and structured decision support.
- Answers: *"What is happening in the business right now?"*

Role in Organizations

- **Data Analytics**
 - Supports **strategic decision-making**
 - Identifies hidden patterns and trends
 - Enables forecasting and optimization
 - Supports AI/ML initiatives
 - Drives data-driven innovation
- Used by:
 - Data Analysts
 - Data Scientists
 - Strategy teams
 - Product teams

- **Business Intelligence**

- Monitors performance through KPIs
 - Supports operational management
 - Enables data-driven daily decisions
 - Standardizes reporting processes
 - Improves transparency across departments
- Used by:
 - Executives
 - Managers
 - Business users
 - Operations teams

Characteristics

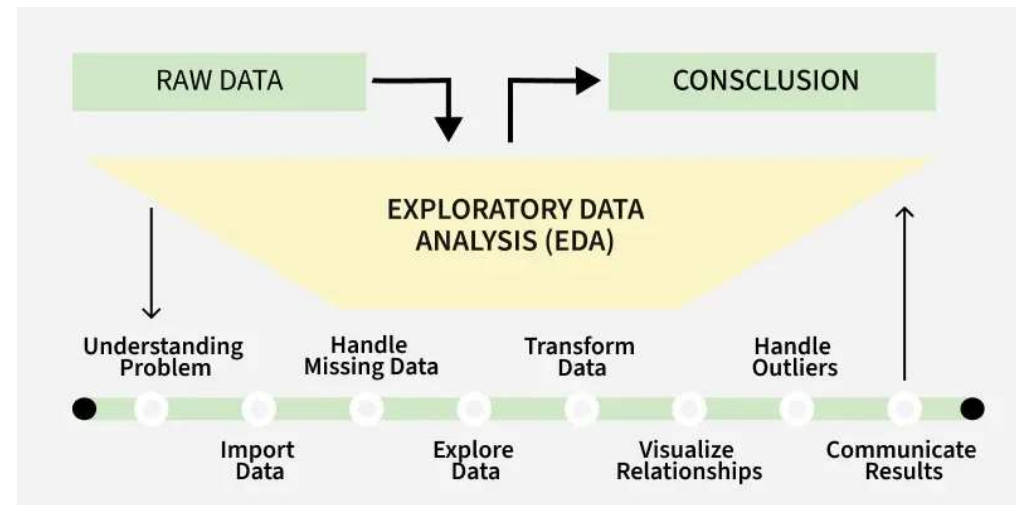
Aspect	Data Analytics	Business Intelligence
Focus	Insight & prediction	Reporting & monitoring
Data	Structured & unstructured	Mostly structured
Time orientation	Past + Future	Mainly past & present
Techniques	Statistical models, ML	Aggregation, OLAP
Output	Insights, models, forecasts	Reports, dashboards
Complexity	Higher	Moderate

Process

- **Data Analytics**

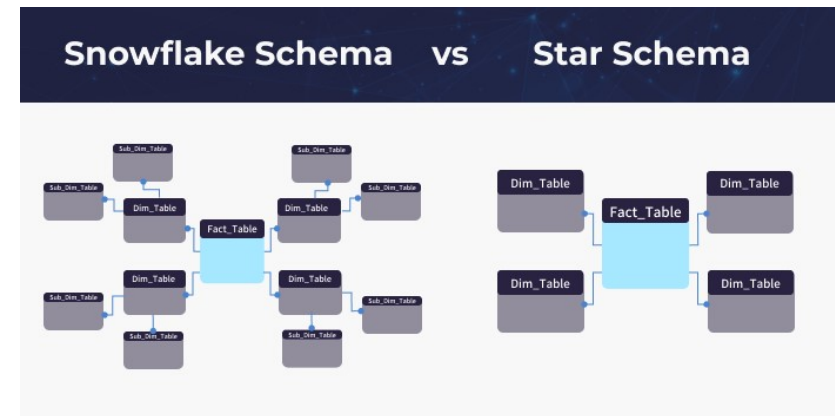
- Define business problem
- Collect data
- Clean & preprocess data
- Explore data (EDA - exploratory data analysis)
- Apply statistical / ML models
- Interpret & communicate results
- Deploy model (if needed)

- Often follows frameworks like:
 - CRISP-DM (Cross Industry Standard Process for Data Mining)



• Business Intelligence

- Data collection from operational systems
- ETL (Extract – Transform – Load)
- Store in Data Warehouse
- Data modeling (star/snowflake schema)
- Reporting & dashboard creation
- Performance monitoring (KPIs)



Types of Analysis

- **Data Analytics**

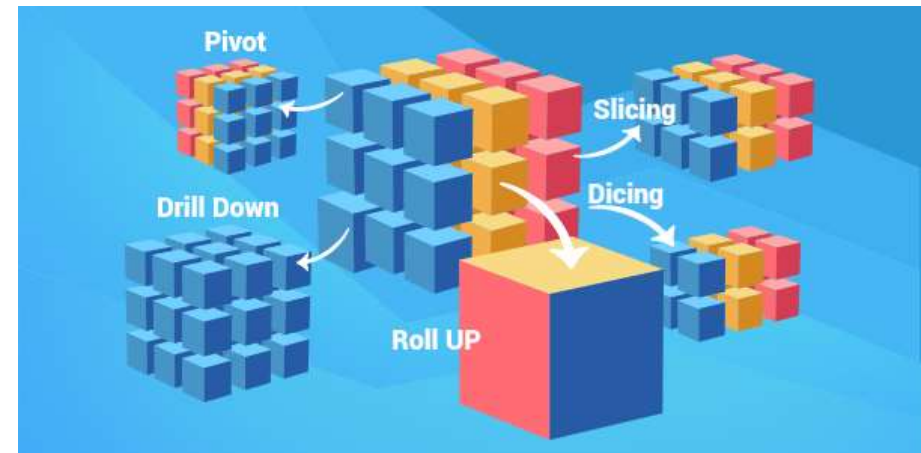
- **Descriptive Analytics** – What happened? (Summarizes historical data)
- **Diagnostic Analytics** – Why did it happen? (Explains causes)
- **Predictive Analytics** – What will happen? (Forecasts future events)
- **Prescriptive Analytics** – What should we do? (Recommends actions)

- **Business Intelligence**

Primarily:

- Descriptive analytics
- Basic diagnostic analysis
- KPI tracking
- Trend analysis
- Drill-down & slice-and-dice (OLAP)

BI rarely includes advanced predictive modeling



Retail case study

- Company: Supermarket Chain
- BI: Sales dashboard by region
- DA: Demand forecasting model
- Outcome: Reduce stock-outs by 20%

Banking Case Study

- Company: Commercial Bank
- BI: Loan performance dashboard
- DA: Credit risk prediction model
- Outcome: Reduce default rate

E-commerce Case Study

- Company: Online Marketplace
- BI: Traffic & conversion dashboard
- DA: Recommendation system
- Outcome: Increase revenue per user

Tools

- **Data Analytics**
- Programming:
 - Python
 - R
 - SQL
- Libraries:
 - Pandas
 - NumPy
 - Scikit-learn
 - TensorFlow
- Platforms:
 - Jupyter Notebook
 - Apache Spark

- **Business Intelligence**

- Microsoft Power BI
- Tableau
- Qlik Sense
- SAP BusinessObjects

Strengths & Weaknesses

Criteria	Data Analytics	Business Intelligence
Strengths	Deep insights	Easy-to-use dashboards
	Predictive capability	Fast decision support
	Supports AI/ML	Standardized reporting
	Competitive advantage	User-friendly
Weaknesses	Requires technical skills	Limited predictive power
	More time-consuming	Less flexible for complex modeling
	Higher implementation cost	Mainly historical focus

Summary

Dimension	Data Analytics	Business Intelligence
Purpose	Discover & predict	Monitor & report
Users	Analysts, Data Scientists	Managers, Executives
Complexity	High	Medium
Time Focus	Past + Future	Past + Present
Output	Insights, Models	Dashboards, Reports

Data Analytics answers:

“Why, what next, and what should we do?”

BI answers:

“What is happening?”

- DA = Advanced analytical layer
- BI = Foundation

Exercise 1 – Classification Activity

- Students classify scenarios as DA or BI
- Example: Sales dashboard?
- Example: Predict churn probability?

Exercise 2 – Mini Case Analysis

- Retail company problem
- Identify BI components
- Identify DA opportunities
- Present group findings

